

M/S Ranjeeta Cold Storage & Ice Plant v. State of U.P. & Others

Allahabad High Court · Division Bench · 30 May 2016 interim order (order-sheet 30.5.2016 to 4.7.2023; Clause 4.27 reproduced and issues narrowed on 23.5.2018; writ pending) · Writ - C No. 26512 of 2016 · **Writ pending; not finally decided. By interim order dated 30 May 2016 the Division Bench restrained recovery of protective-load additional charges for the period already consumed and directed continuous supply on protective-load terms, the surcharge to be impounded in a separate interest-bearing account abiding the result. On 23 May 2018 the Court reproduced Clause 4.27 of the U.P. Electricity Supply Code, 2005 and narrowed the issue to whether protective-load additional charges are payable absent scheduled rostering, directing the Regulatory Commission/respondents to affidavit the authority of law for any scheduled rostering (and whether 'optimum scheduling' equals 'scheduled rostering' under Section 32). As of the last order (4 July 2023) that affidavit was still awaited; the matter stands listed with connected petitions.**

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HEADNOTE

M/S Ranjeeta Cold Storage & Ice Plant, a twenty-four-hour user of power, challenged the levy of additional charges for 'protective load' by the Purvanchal power utility, contending that such charges cannot be raised where no scheduled rostering has been ordered by the competent authority. This order-sheet of the Allahabad High Court (2016-2023) is not a final decision; the writ remains pending. The petitioner's case is that the power to provide protective-load facility and to schedule rostering vests solely in the Electricity Regulatory Commission and cannot be exercised by the Load Dispatch Centre under Section 31 of the Electricity Act, 2003; that absent rostering it is entitled to continuous supply under its agreement (subject to the Section 44 exceptions); that the ingredients of Clause 4.27 of the U.P. Electricity Supply Code, 2005 are not made out; that the charge could not be levied without a Regulatory Commission notification under Section 23 or applied retrospectively (communication dated 23 April 2016); and that its supply is not from an 'independent feeder' as the Code requires. By interim order dated 30 May 2016 the Court restrained recovery for energy already consumed, directed continuous supply on protective-load terms for the future, and impounded any protective-load surcharge in a separate interest-bearing account to abide the result. On 23 May 2018 the Court reproduced Clause 4.27 in full and narrowed the controlling issue to whether the consumer is liable to pay protective-load additional charges in the absence of scheduled rostering - directing the Regulatory Commission and the distribution respondents to file an affidavit specifying the authority of law for any scheduled rostering, and whether 'optimum scheduling' amounts to 'scheduled rostering' under Section 32 of the Act. That affidavit remained awaited as late as 4 July 2023, when the matter was listed with connected petitions; the questions of law are therefore left open.

FACTUAL SUMMARY

The petitioner, M/S Ranjeeta Cold Storage & Ice Plant, ran a cold storage/ice plant on a twenty-four-hour power supply and was treated by the distribution licensee (respondent no. 4, the Purvanchal power utility) as availing 'protective load' facility. It challenged a communication dated 23 April 2016 (and the underlying levy) demanding additional charges for protective load, and filed Writ - C No. 26512 of 2016 impleading the State, the U.P. Electricity Regulatory Commission (respondent no. 2) and the distribution respondents (nos. 3 to 5). Its case was that, in the absence of scheduled rostering ordered by the competent authority (the Regulatory Commission), no additional charge for protective load could be levied merely because it was supplied round the clock; that the Load Dispatch Centre under Section 31 could not exercise the Commission's rostering power; that there was no agreement for such charges; that the levy could not be retrospective or without a Section 23 notification; and that its supply was not from an 'independent feeder' as the Code contemplates. On 30 May 2016 the Court, finding the issues to require scrutiny, granted interim protection. Counter affidavits were filed by some respondents, but the Regulatory Commission repeatedly failed to file its affidavit despite several opportunities. On 23 May 2018 the Court reproduced Clause 4.27 of the Supply Code, narrowed the issue, and directed the Commission/respondents to affidavit the legal basis for any scheduled rostering. Through 2018-2023 the matter was repeatedly adjourned (largely on counsel's illness slips and the awaited affidavit); by the last order dated 4 July 2023 the Commission was granted a final two weeks to comply and the case was listed with connected petitions. The writ remains pending.

REUSABLE CONSTRUCTIONS

1. Clause 4.27 of the U.P. Electricity Supply Code, 2005 permits the licensee to grant 'protective load' in exceptional cases, to be specified in an agreement, to consumers who have opted for twenty-four-hour use of power, on terms

including an additional monthly charge per the latest Rate Schedule, liability to emergency rostering, supply through an independent 11 KV-and-above feeder, and non-release/continuance where (unstayed) arrears are outstanding. [order of 23.5.2018](#)

2. Where a consumer's liability for protective-load additional charges is contested and the questions require scrutiny, an appropriate interim arrangement is to restrain recovery for the period already consumed while continuing continuous supply on protective-load terms, the disputed surcharge being impounded in a separate interest-bearing account to abide by the result of the writ petition. [order of 30.5.2016](#)

HOLDING-UNITS

INTERPLAY · UP-2005::4.27

OBITER

Interim arrangement pending decision on liability for protective-load additional charges absent scheduled rostering; disputed surcharge impounded in an interest-bearing account

QUESTION

Pending decision on whether the consumer is liable to pay protective-load additional charges under Clause 4.27 in the absence of scheduled rostering, what interim arrangement should govern?

HOLDING

By interim order the Division Bench directed that the respondents shall not insist on the petitioner paying any additional charges towards protective-load facility for the period the energy had already been consumed; for the future, the licensee shall supply continuous electrical energy treating the petitioner as having opted for protective-load facility, and any surcharge paid towards protective load shall be kept by the licensee in a separate interest-bearing account to abide by the result of the writ petition. The interim order does not decide the merits; the matter remains pending. [order of 30.5.2016](#)

EVIDENCE “respondent shall not insist upon the petitioner to pay any additional charges towards protective load facility for the period the electrical energy has already been consumed by the petitioner” [order of 30.5.2016](#)

EVIDENCE “licensee shall supply continuous electrical energy to the petitioner treating that he has opted for protective load facility and any surcharge paid by the petitioner towards protective load would be kept by the licensee in the separate interest bearing account and the same shall abide by result of the writ petition” [order of 30.5.2016](#)

FLAG Order-sheet with no printed page numbers; pins are order dates (pin_basis=date). This is an interim order in a pending writ - nature is obiter, no final ratio. The substantive reproduction of Clause 4.27 and the narrowing of issues occurred on 23.5.2018 before a different bench (Amreshwar Pratap Sahi and Shashi Kant, JJ.).

PRINCIPLE TAGS

protective-load-additional-charges-clause-4.27 The licensee's power to levy protective-load additional charges under Clause 4.27 of the U.P. Electricity Supply Code, 2005 is in issue where the consumer opted for 24-hour supply; the charge is contested as impermissible absent scheduled rostering by the competent authority. [order of 23.5.2018](#)

scheduled-rostering-competence-regulatory-commission-vs-load-dispatch-centre The petitioner contends that the power to provide protective-load facility and to schedule rostering vests solely in the Electricity Regulatory Commission and cannot be exercised by the Load Dispatch Centre under Section 31 of the Electricity Act, 2003, and that 'optimum scheduling' does not amount to 'scheduled rostering' under Section 32. [order of 30.5.2016](#)

disputed-surcharge-impounded-in-interest-bearing-account-pending-writ Pending decision, disputed protective-load surcharge is kept by the licensee in a separate interest-bearing account to abide by the result of the writ petition. [order of 30.5.2016](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE PETITIONER IS LIABLE TO PAY PROTECTIVE-LOAD ADDITIONAL CHARGES UNDER CLAUSE 4.27 OF THE U.P. ELECTRICITY SUPPLY CODE, 2005 IN THE ABSENCE OF SCHEDULED ROSTERING BY THE COMPETENT AUTHORITY.

The controlling issue, expressly narrowed by the Court on 23 May 2018; the respondents were directed to file an affidavit specifying the authority of law for any scheduled rostering. Undecided - writ pending. [SCJ-1975] [order of 23.5.2018](#)

NOT DECIDED — WHETHER THE POWER TO PROVIDE PROTECTIVE-LOAD FACILITY AND TO SCHEDULE ROSTERING VESTS SOLELY IN THE ELECTRICITY REGULATORY COMMISSION AND CANNOT BE EXERCISED BY THE LOAD DISPATCH CENTRE UNDER SECTION 31 OF THE ELECTRICITY ACT, 2003, AND WHETHER 'OPTIMUM SCHEDULING' AMOUNTS TO 'SCHEDULED ROSTERING' UNDER SECTION 32.

Raised by the petitioner and flagged by the Court for the respondents' affidavit; undecided. [order of 23.5.2018](#)

NOT DECIDED — WHETHER PROTECTIVE-LOAD CHARGES COULD BE LEVIED WITHOUT A NOTIFICATION BY THE REGULATORY COMMISSION UNDER SECTION 23, APPLIED RETROSPECTIVELY VIA THE COMMUNICATION DATED 23 APRIL 2016, OR WHERE THE SUPPLY IS NOT FROM AN 'INDEPENDENT FEEDER' AS DEFINED UNDER THE CODE (CLAUSE 4.27(F)).

Ancillary grounds pleaded by the petitioner; undecided - writ pending. [order of 23.5.2018](#)

RELATED CASES — SEE ALSO

SCJ-1975 — Sisco Industries - the other Clause 4.27 protective-load matter, likewise left pending on an interim order; the closest spine sibling.

SCJ-026 — Executive Engineer, Electricity Urban Distribution Division v. Electricity Ombudsman - protective-load charges tested in the Ombudsman/appellate context (cf. the Executive Engineer v. Electricity Ombudsman ruling the petitioner relies on here).

SCJ-645 — Chandra Bhan Singh - addresses scheduled rostering / hours-of-supply, the concept whose absence the petitioner invokes against protective-load additional charges.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Executive Engineer v. Electricity Ombudsman</i> 2015 (2) ADJ 196 Allahabad High Court	Where no scheduled rostering has been carried out under a valid order of the competent authority, additional charge cannot be demanded merely on the ground that electricity was being supplied twenty-four hours (paras 46 to 61).	Cited by the petitioner; not yet ruled upon (writ pending). order of 23.5.2018	Petitioner	Referred

SCJ-1988 · M/S Ranjeeta Cold Storage & Ice Plant v. State of U.P. & Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.